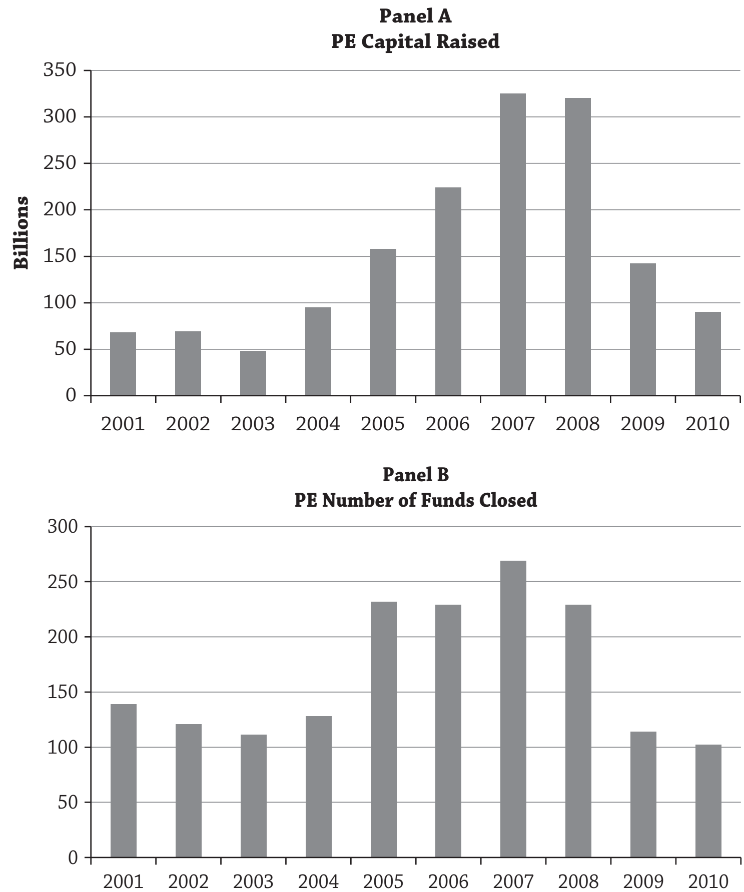

Figure 18.2

Pro-cyclicality causes the lowest returns to be earned on PE investments right when capital allocations to PE are the highest. Why do PE investors behave this way? Partly it is because PE returns are not directly observed. PE firms generally do not report returns.

3. Private Equity Risk and Return

The lack of market values and the infrequent trading of portfolio companies have led to the use of three main performance measures: (i) internal rates of returns (IRRs), (ii) *total value to paid-in capital multiples*, which are called *TVPIs* or *multiples* for short, and (iii) *public market equivalents*, or PMEs.[10] These are computed with

[10] While the FAS 157 rule has pushed NAVs to more reflect "market values," because there are often no market transactions, the valuations are subject to large discretion by GPs. Even when there are market transactions, there is selection bias (see chapter 13).